LONG-TERM CORPORATE DEBT

Learning Outcome

- contrast the long-term funding of investment-grade versus high-yield corporate issuers

Earlier lessons on corporate issuers addressed the uses of long-term debt, including more stable funding for short-term activities and long-term needs, such as capital investments. While corporate issuers face similar capital allocation and capital structure decisions when issuing long-term debt regardless of their credit quality, differences in credit give rise to different features and availability of long-term corporate funding. Recall that corporate issuers categorized as investment grade (IG) have a stronger capacity to meet future fixed obligations from cash flows, while the ability of high-yield (HY) issuers to meet debt interest and principal payments is considered more vulnerable. The relative credit quality of an issuer grows in importance for longer maturities as the likelihood of financial distress increases over time.

Similarities between Long-Term Investment-Grade and High-Yield Issuance

Both issuers and investors considering (non-callable) long-term debt of different maturities weigh the relative risk associated with a maturity choice against its costs or yield-to-maturity. Under normal market conditions, longer maturities are associated with both higher interest rates (yields-to-maturity on government bonds) and higher credit spreads for a given issuer. This is shown in Exhibit 7 by returning to the example of BRWA Corporation.

Exhibit 7:

Maturity Choices of Long-Term Issuers and Investors

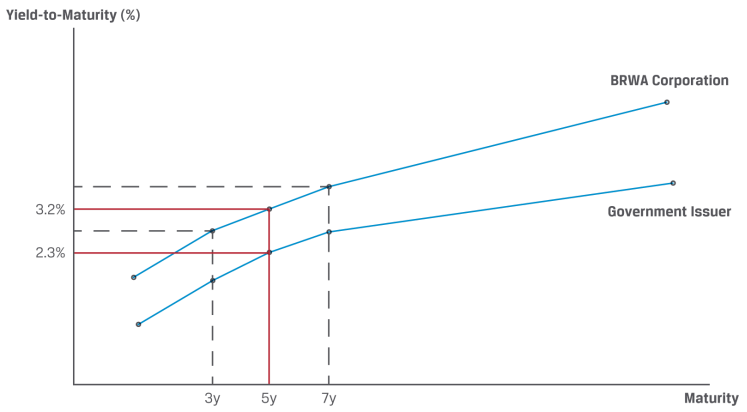


Exhibit 7 shows a partial yield curve for BRWA's bonds introduced earlier. Say an investor with a five-year investment horizon is instead attracted to the higher YTM of the seven-year BRWA bond. By investing in a bond whose maturity exceeds its planned investment horizon, the investor takes on the price risk of selling what will be a two-year bond in five years' time. Also note that the investor faces reinvestment risk, or the possibility that prevailing market interest rates at which the investor may invest funds received are lower than the original bond coupon rate. As an issuer, BRWA may, in contrast, be attracted to the lower YTM of a potential three-year issuance to fund a five-year project. However, in doing so, BRWA assumes rollover risk, or the possibility of having to refinance at higher

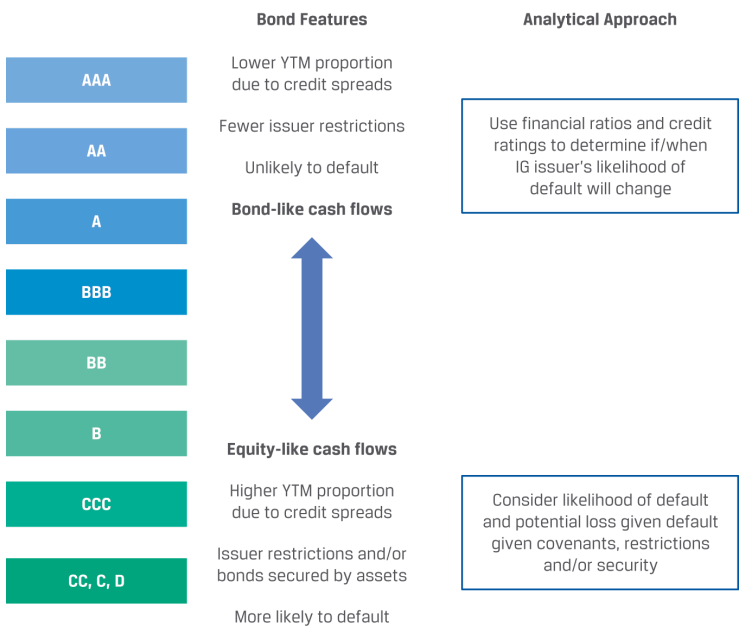
spreads associated with high-yield debt increase the risk-versus-return trade-off for issuers of lower credit quality. The change in a bond's price for a given change in yield for different maturities and investor returns over a specific horizon will be addressed in detail in later lessons.

Differences between IG and HY Issuance

The differences between investment-grade and high-yield corporate bonds go well beyond simply a difference in credit spreads to compensate investors for assuming more or less default risk. Exhibit 8 summarizes the differences between IG and HY bonds.

Exhibit 8:

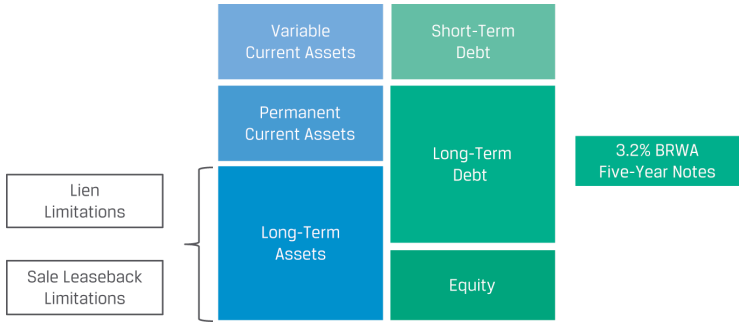
IG versus HY Bonds



Given their strong ability to meet promised interest and principal obligations from operating cash flows, a significant proportion of the yield-to-maturity on an investment-grade bond is attributed to the government benchmark yield. High investor confidence that an IG issuer will be able to make debt service payments over time from operating cash flows typically allows these borrowers to issue debt with relatively little monitoring from bondholders throughout the debt term. Issuers are able to take advantage of a high degree of flexibility in choosing debt maturities (usually up to 30 years), which are accepted by investors with few or no restrictive covenants, as shown in Exhibit 9.

Exhibit 9:

BRWA Restrictive Covenants



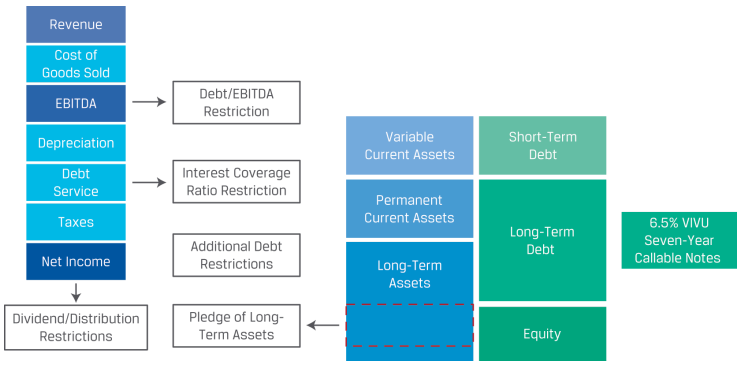
Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

broadly protect investor claims to the company's assets by preventing their sale and leaseback or pledge to a third party.

Investment-grade bonds are relatively standardized debt instruments, and issuers often have numerous general obligation unsecured bonds outstanding based on similar terms with different maturities at any given time. The most frequent IG debt issuers often minimize refinancing risk by staggering debt maturities over time, reducing rollover risk while preserving the ability to opportunistically raise more debt if market conditions allow.

High-yield issuers are characterized by a higher expected likelihood of financial distress, with a higher proportion of a bond's YTM attributed to an issuer-specific spread over the benchmark yield than for IG debt. Given the higher chance of default, these instruments are more equity-like in nature (i.e., uncertain cash flows) and analysts place a greater emphasis on the potential loss given default and the protections and secondary repayment sources that are available. As a result, investors generally impose more constraints on high-yield issuers. The debt covenants in a bond's indenture (or loan covenants in a loan agreement) establish the ability to monitor issuer financial performance based on predetermined criteria, allowing lenders to take actions to restructure debt or preserve creditor claims as needed. Exhibit 10 shows the restrictive covenants for VIVU's 6.5% seven-year callable bonds.

Exhibit 10: VIVU Restrictive Covenants



In contrast to BRWA's IG debtholders, who hold a general obligation unsecured bond and rely on operating cash flows as the source of repayment, as secured debtholders, VIVU investors hold a claim to specific pledged assets. This secondary repayment source aims to minimize losses in the more likely event of a default. The indenture also establishes limitations on additional debt and restrictions related to the level of debt versus operating cash flows and the distribution of net income to shareholders.

These investor restrictions and constraints result in far less HY issuer flexibility and market availability than for IG issuers. For example, VIVU's indenture introduced earlier prohibited the company from issuing additional debt under certain conditions unless the new debt is either subordinated or consists of short-term working capital up to 20% of the principal amount of notes outstanding. HY issuers also face limitations on debt maturities, which are typically shorter in maturity (10 years or less) and face greater fluctuations in both issuer-specific credit spreads and market availability over the economic cycle. Instead of financing opportunistically as market conditions allow, HY firms often must restructure debt and renegotiate covenants in order to take advantage of lower borrowing costs.

Issuers in the high-yield market often seek to retain financial flexibility by borrowing under leveraged loans with prepayment features or issuing bonds with contingency features. Recall that issuers of callable debt establish the right to redeem all or part of a bond prior to maturity at a fixed price. In the earlier VIVU example, the company issued 6.5% debt for seven years but owned the right to redeem bonds starting three years after issuance at an

feature rises as a firm's borrowing costs fall. Note that high-yield investors also benefit from higher bond prices (lower yields) as issuer-specific credit spreads fall, but in the case of callable debt, these gains are capped at the call price. For example, if VIVU were able to issue new debt in three years' time with financing cost savings that exceed the 3.25% call premium in present value terms, it would make sense for VIVU to call the bonds and issue new debt at a lower YTM. The relationship between the prices and yields of callable bonds and the different outcomes for high-yield issuers and investors are covered in detail later in the curriculum.

An important exception in the high-yield bond market is formerly investment-grade issuers known as "fallen angels," introduced earlier. While these borrowers' likelihood of financial distress is similar to that of other high-yield issuers, their outstanding debt has investment-grade features; that is, it is typically non-callable, with few restrictions and covenants and longer maturities. The reason for this is that the bonds were issued to investment-grade bond investors at a time when the borrower was highly rated. The subsequent deterioration in issuer credit quality results in losses to the original investors, many of whom must divest these bonds because they no longer meet minimum rating requirements for their portfolios. This can result in significant price deterioration because the market for high-yield bonds is a fraction of the size of the market for investment-grade bonds.

Question Set

1. For a given issuer, longer maturities are typically associated with:

A. lower interest rates and lower credit spreads.
B. lower interest rates and higher credit spreads.
C. higher interest rates and higher credit spreads.

Hide Solution

Solution:

C is correct. Under normal market conditions, longer maturities are associated with both higher interest rates and higher credit spreads for a given issuer. A and B are incorrect because longer maturities are typically associated with higher interest rates and higher credit spreads.

2. Which of the following is a reason why a high-yield issuer may elect to issue equity as opposed to bonds?

A. High-yield bond maturities are limited to 30 years or less.
B. High-yield issuers face numerous restrictions when issuing debt.
C. High-yield bond analysts use financial ratios and credit ratings to determine when a high-yield issuer's credit rating is likely to change.

Hide Solution

Solution:

B is correct. High-yield issuers face numerous restrictions when issuing debt; however, there are limited restrictions when issuing equity. A is incorrect because high-yield bond maturities tend to be limited to 10 years (not 30 years) or less whereas there is no maturity date on equity. C is incorrect because investment-grade bond analysts use financial ratios and credit ratings to determine when an investment-grade issuer's credit rating is likely to change.

3. Relative to investment-grade bonds, high-yield bonds exhibit:

A. less market availability.
B. more bond-like cash flows.

Solution:

A is correct. Investor restrictions and constraints on HY issuers lead to less market availability than for IG issuers. B is incorrect because high-yield bonds exhibit more equity-like cash flows. C is incorrect because high-yield bonds exhibit more restrictions and constraints by investors.

4. Which of the following statements about high-yield bonds relative to investment-grade bonds is correct?

A. High-yield bonds have more bond-like cash flows.
B. Investment-grade bonds have greater issuer restrictions.
C. High-yield bonds have a higher proportion of YTM attributed to a credit spread.

Hide Solution

Solution:

C is correct. High-yield bonds have a higher proportion of YTM attributed to a credit spread, while investment-grade bonds have a lower proportion of YTM attributed to a credit spread. A is incorrect because high-yield bonds have more equity-like cash flows while investment-grade bonds have more bond-like cash flows. B is incorrect because investment-grade bonds have fewer issuer restrictions than high-yield bonds.

5. Which of the following statements about fallen angels is correct?

A. Their outstanding debt has high-yield bond features.
B. Their likelihood of financial distress is similar to that of other high-yield issuers.
C. The improvement in issuer credit quality results in gains to the original investors.

Hide Solution

Solution:

B is correct. Fallen angels' likelihood of financial distress is similar to that of other high-yield issuers. A is incorrect because their outstanding debt has investment-grade (not high-yield) bond features; they are typically non-callable, with few restrictions and covenants and longer maturities. C is incorrect because the deterioration (not improvement) in issuer credit quality results in losses (not gains) to the original investors, many of whom must divest these bonds because they no longer meet minimum rating requirements. This can result in significant price deterioration because the high-yield bond market is a fraction of the size of the investment-grade bond market.

OPTIONAL UNTESTED SEGMENT

UNLOCKING REAL-WORLD APPLICATIONS WITH BLOOMBERG

Bloomberg is one of the main market data platforms used globally by finance professionals throughout their workflows. In this optional section, we will explore a real-world application of the CFA Curriculum on Bloomberg.

{SECF} SECURITY FINDER

The Bloomberg SECF function allows you to view the full database of corporate bonds on Bloomberg.

> "SECF <GO> allows you to search Bloomberg's universe of securities and statistics, so you can find the right instrument faster. SECF returns up to 5,000

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

To explore this function, type SECF into the Bloomberg command line and press Enter or <GO>. Click on the Category amber dropdown menu, and select Fixed Income.

R	Name	Ticker	Coupon	Maturity	Series	BB Rtg	Mty Ty...	Announce	Curr	Ask Px	Source
1)	Unigel Luxembourg ...	UNIGEL	8.750	10/01/2026	REGS	CCC	CALLABLE	09/26/2019	USD	31.824	BMRK
2)	Citigroup Inc	C	6.174	05/25/2034		BBB	CALLABLE	05/22/2023	USD	100.946	BMRK
3)	Wanda Properties O...	DALWAN	6.875	07/23/2023		B+	BULLET	01/20/2020	USD	90.172	BMRK
4)	JPMorgan Chase & ...	JPM	5.350	06/01/2034		A	CALLABLE	05/24/2023	USD	100.553	BMRK
5)	Bayer AG	BAYNGR	4.625	05/26/2033	EMTN	BBB	CALLABLE	05/23/2023	EUR	102.312	BGN
6)	Pfizer Investment E...	PFE	4.750	05/19/2033		A	CALLABLE	05/16/2023	USD	99.887	BMRK
7)	Pfizer Investment E...	PFE	5.300	05/19/2053		A	CALLABLE	05/16/2023	USD	102.987	BMRK
8)	AT&T Inc	T	5.400	02/15/2034		NR	CALLABLE	05/30/2023	USD	99.915	BMRK
9)	Khazanah Capital Ltd	KNBZMK	4.876	06/01/2033	EMTN	A-	BULLET	05/23/2023	USD	100.390	CBBT
10)	Robert Bosch GmbH	RBOSGR	4.375	06/02/2043	EMTN	NR	CALLABLE	05/22/2023	EUR	102.135	BGN
11)	Electricite de Franc...	EDF	5.700	05/23/2028	REGS	BBB	CALLABLE	05/17/2023	USD	100.678	BMRK
12)	Wanda Properties I...	DALWAN	7.250	01/29/2024		B+	BULLET	01/23/2014	USD	61.538	BMRK
13)	Kubota Credit Corp ...	KUB	4.958	05/31/2026		NR	CALLABLE	05/23/2023	USD	99.509	CBBT
14)	Bayer AG	BAYNGR	4.000	08/26/2026	EmTN	BBB	CALLABLE	05/22/2023	EUR	100.563	BGN
15)	Khazanah Global Su...	KNBZMK	4.687	06/01/2028	EMTN	A-	BULLET	05/23/2023	USD	99.763	CBBT
16)	Credito Emiliano SpA	CRDEM	5.625	05/30/2029		BB+	CALLABLE	05/23/2023	EUR	101.168	BGN
17)	BPCE SA	BPCEGP	5.750	06/01/2033	EMTN	BBB	CALLABLE	05/22/2023	EUR	101.294	BGN
18)	Mercedes-Benz Inte...	MBGGR	3.500	05/30/2026	EMTN	A	BULLET	05/22/2023	EUR	99.792	BGN
19)	Bayer AG	BAYNGR	4.250	08/26/2029	EMTN	BBB	CALLABLE	05/22/2023	EUR	102.026	BGN

© 2023 Bloomberg L.P.

Please provide feedback on this Bloomberg feature.

Discuss Filter

Discussion

What do you want to discuss... (required)

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search